

have production facilities in Russia and offices in Ukraine. Requests for an interaction sent to the first elicited no response, despite many attempts. DRL's spokesperson sent a standard two-line response that has been curated for the media: "We have had a presence in the region for over three decades. Ensuring the well-being of our staff is our first and foremost priority, along with measures to meet patient needs and business continuity. We have been monitoring developments closely and preparing accordingly, and continue to do so."

Sudarshan Jain, Secretary General of the Indian Pharmaceutical Alliance (IPA) and himself a former head of pharma company Abbott India, identified three immediate industry priorities, the first being to keep an adequate supply of medicines—three to four months' stock—in Ukraine and Russia. "Our other priorities are to ensure the safety of employees in the region, and to ensure the safe return of our Indian staff and their families back home," he says. "We are working closely with the Ministry of External Affairs and the Ministry of Commerce on meeting these and other challenges."

But there is one essential commodity's behaviour that is concerning to the pharma industry: the volatility in active pharmaceutical ingredient (API) prices. The industry depends on imports for 90 per cent of its API needs, and increased volatility because of the Ukraine crisis is going to make matters worse. "Company margins—and balance sheets—are already stressed as a consequence of this volatility," Jain points out. "Things could get harder for the industry, financially. Our response to the Covid-19 pandemic and changing operations and structures while still ensuring the flow of medicines isn't interrupted has also come with some costs."

They would do it all over again if needed, he adds. Consultation with the government is ongoing to address the API challenge, along with a whole host of other things.

THE PAYMENTS PROBLEM

The imposition of economic sanctions on Russia has been swift. To start with, five major Russian banks have been barred by Europe and the

US from the SWIFT global messaging system that lets banks communicate with each other across borders about payments and transfers between them, a sort of financial SMS confirmation system. The Society for Worldwide Interbank Financial Telecommunications, or SWIFT, has more than 11,000 participating member banks and financial institutions from 200 countries, and makes global trade and finance possible.

The sanctions have got the pharma industry worried, not because of the volume of trade—the Pharmaceuticals Export Promotion Council (Pharmexcil) reported that in 2020-21, pharma exports to Russia and Ukraine amounted to \$591 million and \$181 million, respectively, or less than 3 per cent of total pharma exports—but because companies are worried about receiving payments. "Receiving payments for exports to Russia will now be a big problem," says Ajay Sahai, Director General and CEO of the Federation of Indian Export Organisations (FIEO). "There is about \$400 million in unrealised receipts for exports that have already been shipped." Most of that is from Russia. The problem, Sahai says, is that the financial consequences can be steep for exporters. Banks have applied stringent terms in recent months because the rouble has been a volatile currency, and now it has pretty much collapsed.

Pre-shipment credit is typically accompanied by insurance cover from the Export Credit Guarantee Corporation (ECGC), and post-shipment credit has high penalties if payments are not received on time. "Unless the government asks banks to relax the penalties and payback periods until the situation is resolved, the costs for exporters can be crippling," says Sahai.

Russian companies have offered to pay through third countries—Turkey, for instance—but



"This year's Budget and tax collections in the past few months have been high enough for the RBI to reduce the government's borrowing programme"

RASHESH SHAH

CHAIRMAN AND CEO, EDELWEISS GROUP